

Illustration by SIDDHANT JUMDE

bonds are sold on platforms.

The routing of trades through the trading platform of exchanges will help in mitigating settlement risk associated with online bond platforms as the settlement is guaranteed on T+2 (trading plus two). Additionally, this route will provide an exit opportunity to the investors and a well-defined framework for redress of investor grievances. Moreover, all standard practices such as KYC requirements of clients and brokers will ensure safety of all the market participants. This move is in no way an attempt to restrict platforms to sell bonds; it adds checks and balances for retail participants to have safety in their bond investments through such platforms.

GST ON HOUSE RENT

If you are earning rental income from a property, you may have to pay GST of 18 per cent from July 18, 2022. According to the notification, a residential dwelling rented to a person registered under GST would attract a tax of 18 per cent. The GST applicability on rent is based on two factors: type of property and the rent threshold. GST on rent is applicable to properties rented for both residential and commercial purposes. Even if a residential property is rented for commercial purposes, the rental income is liable for tax under GST on rent.

GST liability would remain intact as long as you have given your property on rent for business, irrespective of the nature of its usage. However, if you have rented your residential property for residential purposes to an individual not registered under the GST, then GST on rental income would not be applicable. Moreover, under the GST regime, the need to pay GST on rent arises when you get an annual rental income of Rs 20 lakh or more from your service providing business. This threshold was earlier kept at Rs 10 lakh and in case of businesses, the limit is Rs 40 lakh per annum.

If either of the two factors are applicable, you will have to pay 18 per cent of your rental income as GST on rent. If the landlord is not registered under GST, they will have to register and pay tax. In case one meets the eligibility criteria, one could claim input tax credit (ITC) on GST on rent.

The case gets complicated with this new amendment when the occupant (not necessarily tenant) takes a residential property on rent for the purpose of a guest house or for providing residence for employees or directors and would be now subjected to tax. This change can impact several employees who live in company-provided accommodation, which is taken on rent by the company, as companies may not wish to pay this additional tax. Owners of small units may not be impacted by this rule, but for many who invested in real estate with rental income as an objective, this move could reduce their rental yields.

ITR E-VERIFICATION

Tax filing for the financial year 2021-22 may have been over, but the tax department announced a change in the timeline to verify tax returns. Earlier, the time period to e-verify the ITR or send the ITR-V through post was 120 days from the date of the uploading of the ITR. This has now been reduced to 30 days, beginning August 1, after the CBDT (Central Board of Direct Taxes) issued a notification to the effect on July 29, 2022 announcing the change in the timeline.

The e-verification is an important step, as an ITR (income tax return) is treated complete only when the e-verification is acknowledged. If the e-verification is not completed within the stipulated time; an ITR is treated as invalid. The notification goes to detail that in cases where the e-verification of the ITR or the hard copy of ITR-V is sent through post after the 30-day time-limit the ITR, in such cases, would be treated as late or beyond the due date. As a taxpayer, make sure that you have submitted the e-verification or sent the ITR-V by post to avoid complications with your returns. ■

–Narayan Krishnamurthy